

Chapter Review

1-6i Problems: Series A

PR 1-1A

Transactions

Obj. 4 - Describe and illustrate how business transactions can be recorded in terms of the resulting change in the elements of the accounting equation.

On June 1 of the current year, Chris Bates established a business to manage rental property. The following transactions were completed during June:

- a. Opened a business bank account with a deposit of \$75,000 in exchange for common stock.
- b. Purchased office supplies on account, \$2,200.
- c. Received cash from fees earned for managing rental property, \$19,500.
- d. Paid rent on office and equipment for the month, \$8,000.
- e. Paid creditors on account, \$1,850.
- f. Billed customers for fees earned for managing rental property, \$6,000.
- g. Paid automobile expenses for month, \$1,500, and miscellaneous expenses, \$800.
- h. Paid office salaries, \$5,500.
- i. Determined that the cost of supplies on hand was \$550; therefore, the cost of supplies used was \$1,650.
- j. Paid dividends, \$4,000.

Instructions

1. Indicate the effect of each transaction and the balances after each

transaction, using the following tabular headings:

Assets			= Liabilities +		Stockholders' Equity						
Cash	+ Receivable	+ Supplies	= Payable	+ Common Stock	- Dividends	+ Fees Earned	- Rent Expense	- Salaries Expense	- Supplies Expense	- Auto Expense	- Misc. Expense

2.  Briefly explain why issuing common stock and revenues increased stockholders' equity, while dividends and expenses decreased stockholders' equity.
3. Determine the net income for June.
4. How much did June's transactions increase or decrease stockholders' equity?

PR 1-2A

Financial Statements

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

The assets and liabilities of Adventure Travel Agency on December 31, 20Y5, and its revenue and expenses for the year are as follows:

Accounts payable	\$ 52,000	Miscellaneous expense	\$ 22,100
Accounts receivable	310,400	Rent expense	75,000
Cash	198,600	Supplies	6,000
Common stock	325,000	Supplies expense	15,300
Fees earned	1,400,000	Utilities expense	40,000
Land	1,350,000	Wages expense	870,000

Common stock was \$250,000 and retained earnings was \$1,160,400 as of January 1, 20Y5. During the year, additional common stock of \$75,000 was issued for cash, and dividends of \$50,000 were paid.

Instructions

1. Prepare an income statement for the year ended December 31, 20Y5.

2. Prepare a statement of stockholders' equity for the year ended December 31, 20Y5.
3. Prepare a balance sheet as of December 31, 20Y5.
4. What items appear on both the statement of stockholders' equity and the balance sheet?

Financial Statements

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

Seth Feye established Reliance Financial Services on July 1, 20Y2. Reliance Financial Services offers financial planning advice to its clients. The effect of each transaction and the balances after each transaction for July follow:

	Assets			= Liabilities +	Stockholders' Equity							
	Cash	+ Accounts Receivable	+ Supplies	= Accounts Payable	+ Common Stock	- Dividends	+ Fees Earned	- Salaries Expense	- Rent Expense	- Auto Expense	- Supplies Expense	- Misc. Expense
a.	+50,000				+50,000							
b.			+7,000	+7,000								
Bal.	50,000		7,000	7,000	50,000							
c.	-3,600			-3,600								
Bal.	46,400		7,000	3,400	50,000							
d.	+110,000						+110,000					
Bal.	156,400		7,000	3,400	50,000		110,000					
e.	-33,000							-33,000				
Bal.	123,400		7,000	3,400	50,000		110,000	-33,000				
f.	-20,800									-16,000		-4,800
Bal.	102,600		7,000	3,400	50,000		110,000	-33,000	-16,000	-16,000		-4,800
g.	-55,000							-55,000				
Bal.	47,600		7,000	3,400	50,000		110,000	-55,000	-33,000	-16,000		-4,800
h.			-4,500								-4,500	
Bal.	47,600		2,500	3,400	50,000		110,000	-55,000	-33,000	-16,000	-4,500	-4,800
i.		+34,500					+ 34,500					
Bal.	47,600	34,500	2,500	3,400	50,000		144,500	-55,000	-33,000	-16,000	-4,500	-4,800
j.	-15,000					-15,000						
Bal.	32,600	34,500	2,500	3,400	50,000	-15,000	144,500	-55,000	-33,000	-16,000	-4,500	-4,800

Instructions

1. Prepare an income statement for the month ended July 31, 20Y2.
2. Prepare a statement of stockholders' equity for the month ended July 31, 20Y2.
3. Prepare a balance sheet as of July 31, 20Y2.
4. *Optional.* Prepare a statement of cash flows for the month ending July 31, 20Y2.

Transactions; Financial Statements

Obj. 4 - Describe and illustrate how business transactions can be recorded in terms of the resulting change in the elements of the accounting equation., 5 -

Describe the financial statements of a corporation and explain how they interrelate.

On August 1, 20Y9, Brooke Kline established Western Realty. Brooke completed the following transactions during the month of August:

- a. Opened a business bank account with a deposit of \$35,000 in exchange for common stock.
- b. Purchased supplies on account, \$2,750.
- c. Paid creditor on account, \$1,800.
- d. Earned sales commissions, receiving cash, \$52,800.
- e. Paid rent on office and equipment for the month, \$4,500.
- f. Paid dividends, \$3,000.
- g. Paid automobile expenses for month, \$1,100, and miscellaneous expenses, \$1,200.
- h. Paid office salaries, \$5,250.
- i. Determined that the cost of supplies on hand was \$1,750; therefore, the cost of supplies used was \$1,000.

Instructions

1. Indicate the effect of each transaction and the balances after each transaction, using the following tabular headings:

Assets		=	Liabilities		+	Stockholders' Equity						
Cash	Supplies	=	Accounts Payable	Common Stock	-	Dividends	+ Sales Commissions	- Salaries Expense	- Rent Expense	- Auto Expense	- Supplies Expense	- Misc. Expense

2. Prepare an income statement for August, a statement of stockholders' equity for August, and a balance sheet as of August 31.

PR 1-5A

Transactions; Financial Statements

Obj. 4 - Describe and illustrate how business transactions can be recorded in terms of the resulting change in the elements of the accounting equation., 5 -

Describe the financial statements of a corporation and explain how they interrelate.

D'Lite Dry Cleaners is owned and operated by Joel Palk. A building and equipment are currently being rented, pending expansion to new facilities. The actual work of dry cleaning is done by another company at wholesale rates. The assets, liabilities, and common stock of the business on July 1, 20Y4, are as follows: Cash, \$45,000; Accounts Receivable, \$93,000; Supplies, \$7,000; Land, \$75,000; Accounts Payable, \$40,000; Common Stock, \$60,000. Business transactions during July are summarized as follows:

- a. Joel Palk invested additional cash in exchange for common stock with a deposit of \$35,000 in the business bank account.
- b. Paid \$50,000 for the purchase of land adjacent to land currently owned by D'Lite Dry Cleaners as a future building site.
- c. Received cash from customers for dry cleaning revenue, \$32,125.
- d. Paid rent for the month, \$6,000.
- e. Purchased supplies on account, \$2,500.
- f. Paid creditors on account, \$22,800.
- g. Charged customers for dry cleaning revenue on account, \$84,750.
- h. Received monthly invoice for dry cleaning expense for July (to be paid on August 10), \$29,500.
- i. Paid the following: wages expense, \$7,500; truck expense, \$2,500; utilities expense, \$1,300; miscellaneous expense, \$2,700.
- j. Received cash from customers on account, \$88,000.
- k. Determined that the cost of supplies on hand was \$5,900; therefore, the cost of supplies used during the month was \$3,600.
- l. Paid dividends, \$12,000.

Instructions

1. Determine the amount of retained earnings as of July 1, 20Y4.
2. State the assets, liabilities, and stockholders' equity as of July 1 in equation form similar to that shown in this chapter. In tabular form below the

equation, indicate increases and decreases resulting from each transaction and the new balances after each transaction.

3. Prepare an income statement for July, a statement of stockholders' equity for July, and a balance sheet as of July 31.
4. *Optional.* Prepare a statement of cash flows for July.

PR 1-6A

Missing Amounts from Financial Statements

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

The financial statements at the end of Wolverine Realty's first month of operations are as follows:

**Wolverine Realty
Income Statement
For the Month Ended April 30, 20Y0**

Fees earned		\$ (a)
Expenses:		
Wages expense	\$300,000	
Rent expense	100,000	
Supplies expense	(b)	
Utilities expense	20,000	
Miscellaneous expense	25,000	
Total expenses		(475,000)
Net income		<u>\$ 275,000</u>

**Wolverine Realty
Statement of Stockholders' Equity
For the Month Ended April 30, 20Y0**

	Common Stock	Retained Earnings	Total
Balances, April 1, 20Y0	\$ 0	\$ 0	\$ 0
Issued common stock	(c)		(c)
Net income		(d)	(d)
Dividends		(125,000)	(125,000)
Balances, April 30, 20Y0	<u>\$ (c)</u>	<u>\$ (e)</u>	<u>\$ (f)</u>

**Wolverine Realty
Balance Sheet
April 30, 20Y0**

Assets		
Cash		\$462,500
Supplies		12,500
Land		150,000
Total assets		<u>\$ (g)</u>
Liabilities		
Accounts payable		\$ 100,000
Stockholders' Equity		
Common stock	\$375,000	
Retained earnings	(h)	
Total stockholders' equity		(i)

Total liabilities and stockholders' equity		<u>\$ (j)</u>
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**Wolverine Realty
Statement of Cash Flows
For the Month Ended April 30, 20Y0**

Cash flows from (used for) operating activities:		
Cash received from customers	\$ (k)	
Cash paid for expenses and to creditors	<u>(387,500)</u>	
Net cash flows from operating activities		\$ (l)
Cash flows from (used for) investing activities:		
Cash paid for land		(m)
Cash flows from (used for) financing activities:		
Cash received from issuing common stock	\$ (n)	
Cash paid for dividends	<u>(o)</u>	
Net cash flows from financing activities		<u>(p)</u>
Net increase (decrease) in cash		\$ (q)
Cash balance, April 1, 20Y0		<u>0</u>
Cash balance, April 30, 20Y0		<u>\$ (r)</u>

Instructions

By analyzing the interrelationships among the four financial statements, determine the proper amounts for (a) through (r).

Chapter 1: Introduction to Accounting and Business: 1-6i Problems: Series A

Book Title: Financial and Managerial Accounting

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